CHAPTER 9

INDIAN ECONOMY ON THE EVE OF INDEPENDENCE

CHAPTER ESSENCE AT A GLANCE:
Examine the colonial legacy of 1947: colonial exploitation, agricultural stagnation via Zamindari system, de-industrialization of handicrafts, adverse drain of wealth, and poor demographic profile.

4 CORE PRINCIPLES TO UNDERSTAND FIRST

• **Colonial Economic Exploitation Core:** Britain transformed the Indian economy into a classic colonial feeder: raw material supplier for British industries and a captive market for British manufactured goods.

• **Agricultural Stagnation & Zamindari Rents:** Permanent Settlement (Zamindari system) extracted extortionate rents without investing in land improvement, causing perpetual peasant indebtedness and famines.

• **De-industrialization and Handicraft Destruction:** Discriminatory tariff policy dismantled world-famous Indian handicrafts (Dacca Muslin) without establishing modern manufacturing, forcing millions back into subsistence farming.

• **Drain of Wealth and Demographic Squalor:** India generated export surpluses but proceeds were drained away to finance British colonial wars and administrative dividends; demographic profile showed infant mortality of 218 per 1000 and life expectancy of only 44 years.

ESSENTIAL ECONOMIC MODELS & GOVERNING FORMULAS

$$\text{Colonial Exploitative Cycle} \iff \text{Export Raw Materials (Cotton, Jute)} \leftrightarrow \text{Import Finished British Mill Goods}$$

Colonial Bilateral Trade Dependency Model

$$\text{Drain of Wealth} = \text{Export Surplus Proceeds} - \text{Zero Physical Inflow of Gold or Capital Assets}$$

Colonial Economic Surplus Extraction Identity

$$\text{1947 Demographic Indicators} \iff \text{Life Expectancy} \approx 44 \text{ Years}, \quad \text{Infant Mortality} \approx 218 \text{ per } 1{,}000$$

Pre-Independence Human Welfare Benchmarks

$$\text{De-industrialization Effect} \iff \downarrow \text{Handicrafts} \rightarrow \uparrow \text{Agricultural Population Burden}$$

Destruction of Traditional Artisan Economy

CRUCIAL EXAM PRECAUTIONS & VALUATION RUBRIC SECRETS

• **Alert:** India enjoyed a substantial export surplus during colonial rule, but it resulted in an economic drain because surplus proceeds were used to pay British home charges and war debts rather than capital goods.

• **Alert:** The commercialization of agriculture (cash crops like indigo and cotton) enriched British merchants while causing devastating famines for Indian peasants.

• **Alert:** The introduction of railways by the British in 1850 integrated internal markets but also accelerated the penetration of British factory goods into rural India.

HIGH-YIELD CENTUM QUESTIONS & STEP-BY-STEP EXPLANATIONS

1. State the two-fold objective of the British colonial government's industrial policy in India. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Objective 1:** To reduce India to a mere supplier of raw materials for Britain's expanding modern industries. **[1 Mark]**

• **Objective 2:** To turn India into a captive, duty-free market for British factory-finished manufactured goods. **[1 Mark]**

2. What was the 'Drain of Indian Wealth' during the colonial era? [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Concept:** The unilateral transfer of economic resources and export surpluses from India to Britain without receiving any proportionate economic return. **[1 Mark]**

• **Utilization:** Used to meet British administrative office expenses in London, pension dividends, and to finance British colonial wars. **[1 Mark]**

3. Explain the major causes of agricultural stagnation during the British colonial period. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Oppressive Land Settlement Systems:** Under the Zamindari system, zamindars extracted exorbitant rents regardless of drought or crop failure without reinvesting in land. **[1 Mark]**

• **Forced Commercialization:** Peasants were coerced into cultivating cash crops (indigo, cotton) needed by British mills rather than food grains, causing famines. **[1 Mark]**

• **Lack of Irrigation and Technology:** Agriculture remained completely dependent on erratic monsoons with negligible fertilizer use and primitive wooden tools. **[1 Mark]**

4. Explain the impact of the decline of Indian handicrafts (de-industrialization) on the Indian economy. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Massive Unemployment:** Millions of traditional weavers, artisans, and blacksmiths lost their traditional livelihoods. **[1.5 Marks]**

• **Overcrowding of Agriculture:** Uprooted artisans migrated to villages, increasing the labor burden on agriculture and fragmenting landholdings. **[1.5 Marks]**

5. State the demographic profile of India on the eve of independence: Literacy rate, Infant Mortality Rate, and Life Expectancy. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Literacy Rate:** Overall literacy rate was less than 16 percent, while female literacy was a dismal 7 percent. **[1 Mark]**

• **Infant Mortality Rate:** Extremely alarming at 218 per 1,000 live births (compared to around 28 today). **[1 Mark]**

• **Life Expectancy:** A very low average of only 44 years due to frequent famines and absence of basic healthcare. **[1 Mark]**

6. Evaluate the positive contributions, if any, made by the British colonial administration in India. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Introduction of Railways:** Developed modern rail transport (1850) that broke geographical isolation and facilitated emergency food movement. **[1 Mark]**

• **Commercial Transition:** Shifted agriculture from pure subsistence farming to modern market-oriented commercial production. **[1 Mark]**

• **Monetary and Legal System:** Replaced barter with a unified monetary system and established administrative civil governance. **[1 Mark]**

7. Explain the state of India's Foreign Trade during the British rule: Composition of trade, Direction of trade, and Drain of wealth. [Score: 4 Marks]

Answer & Key Valuation Steps:

• **Composition of Trade:** India became a net exporter of primary raw materials (raw cotton, raw silk, jute, indigo, tea) and a net importer of finished consumer goods (cotton clothes, woolens, capital machinery). **[1.5 Marks]**

• **Direction of Trade:** More than 50 percent of India's foreign trade was monopolized by Britain, further reinforced after opening of Suez Canal in 1869. **[1.25 Marks]**

• **Drain of Wealth:** Huge export surpluses were extracted by Britain to pay home administrative charges and military costs rather than importing productive capital. **[1.25 Marks]**